🇺🇸 New York Session Pre-Open Briefing (1 Hr Before Open)

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Daily Multi-Asset Trading Blueprint & Level Execution Manual

Date: Friday, October 16, 2026

Session Highlight: 🇺🇸 New York Session Pre-Open Briefing (1 Hr Before Open)

Session News Focus: Wall Street pre-market movers, US Federal Reserve news, mega-cap US stocks (NVDA, MSFT, TSLA), and WTI Crude Oil catalysts.

📰 SECTION 0: DAILY MACRO & FINANCIAL NEWS DIGEST

1. Global Macro & Central Banks

- **US Federal Reserve:** Chairman Kevin Warsh stated the Fed would not prejudge upcoming interest rate decisions for October and December meetings, emphasizing a commitment to price stability. The Fed previously hiked rates by a quarter-point to approximately 3.9% in September, the first increase in three years, with elevated US inflation likely necessitating further hikes. An AI task force within the Fed is scheduled to meet on November 16.
- **European Central Bank (ECB):** The IMF projects at least one more 25 basis point rate hike by the ECB in 2026 to combat high inflation, following increases in June and September. Joachim Nagel, President of the German Central Bank, also hinted at the possibility of further rate hikes.
- **Reserve Bank of India (RBI):** India's central bank is expected to further tighten monetary conditions to counter capital outflows and strengthen the rupee, which has been one of Asia's worst performers. The RBI raised its repo rate by 0.25 percentage points to 5.5% on October 7, the first hike since February 2023, and shifted its stance to "calibrated tightening." Effective October 16, the RBI also increased the minimum daily Cash Reserve Ratio (CRR) maintenance requirement for banks from 90% to 99%.

2. US & European Markets

- **US Pre-Market Movers:** The US stock market opened mixed, with the S&P 500 up 0.19%, the Dow Jones Industrial Average rising 0.14%, and the Nasdaq slipping 0.24%. Tesla (TSLA) surged 3.1% to 5% in premarket trading following a highly publicized Roadster event showcasing advanced capabilities and beating Q3 delivery expectations. Nvidia (NVDA) was down slightly by 0.5% in premarket, continuing a chip sell-off trend, but analysts like Dan Ives view the dip as a buying opportunity due to strong AI chip demand and supply constraints. Microsoft (MSFT) saw its stock surge earlier, gaining nearly $450 billion in market value driven by Azure cloud platform growth and Microsoft 365 Copilot. However, Microsoft plans to rely more on its custom-designed silicon (Maia 200/300 chips) for Azure, potentially impacting Nvidia's data center market share. Top premarket gainers included PMI (+23.0%), AEHL (+12.4%), and NBIZ (+8.1%), while decliners included GUTS (-48.6%), FOXF (-18.8%), and TLK (-15.1%).
- **Tech Sector Sentiment:** Concerns over AI financing costs and heavy debt loads at data-center operators are leading to a split in the AI group between companies that can self-fund and those relying on borrowing, making the latter behave like rate-sensitive stocks.

3. Indian Markets & Dalal Street

- **Market Performance:** Indian equity benchmarks closed higher for a second consecutive session on Friday, October 16. The Nifty 50 ended above 23,100, gaining 0.65% to 23,146.15, while the BSE Sensex rose 0.56% to 74,729.27. This rally was primarily driven by strong performance in information technology stocks and encouraging corporate earnings.
- **Key Movers:** IT stocks led the rally, with the Nifty IT index rising 4%. Tech Mahindra surged 8.5% after reporting better-than-expected September-quarter revenue. Tata Consultancy Services (TCS) jumped 4.61% and Infosys rallied 4.55%. Other gainers included Bharti Airtel and Mahindra & Mahindra. Most sectoral indices, except FMCG, oil and gas, and pharmaceuticals, ended in positive territory.

4. Commodities & Crypto Wire

- **WTI Crude Oil:** Brent crude fell 1.8% to $89.50/barrel as Iraq committed to OPEC+ output cuts, potentially pressuring energy names. The ongoing US-Israeli war on Iran continues to influence energy prices.
- **Gold (XAU/USD):** Gold prices rebounded to around $4,185-$4,190.50 during the European session on October 16, supported by declining US Treasury yields and a weaker US dollar. This occurred despite stronger-than-expected September PPI and retail sales data in the US. Technical analysis shows gold has repaired its short-term bullish structure, forming a bullish engulfing pattern. Goldman Sachs projects gold at $4,605/ounce for Q4 2026 and $4,765 for Q1 2027.
- **Crypto:** The SEC proposed new crypto custody rules for advisers and funds on October 1, which, if adopted, would permit self-custody of crypto assets under certain conditions if a qualified custodian is unavailable. The CFTC also published an Advanced Notice of Proposed Rulemaking (ANPR) for a "crypto asset market" category for designated contract market (DCM) registration, with comments due December 14, 2026. Florida's Payment Stablecoin Issuer Law, built on the GENIUS Act template, took effect on October 1, requiring licenses and 1:1 reserves for stablecoin issuers.

💰 CAPITAL BASE & ALLOCATION RULES ($3,000 TOTAL)

- **Crypto Futures:** $400 (13.3%) | Recommended Leverage: 3x–5x Isolated | Risk Cap: 1–2% ($4–$8)
- **Indian Options (Intraday):** $500 (16.7%) | Option Buying Only | Risk Cap: 10–15% Premium ($30–$45)
- **Commodities (Micro Gold & Oil):** $400 (13.3%) | Recommended Leverage: 10x–15x Micro Lots | Risk Cap: 2% ($8)
- **US Stocks (Fractional):** $400 (13.3%) | 1x Unleveraged Cash | Risk Cap: 3% ($12)
- **Indian Stocks (Delivery):** $400 (13.3%) | 1x Unleveraged Cash | Risk Cap: 5% ($20)
- **Forex Short-Term Futures:** $450 (15.0%) | Recommended Leverage: 10x–20x | Risk Cap: 1% ($4.50)
- **Forex Long-Term Carry Swing:** $450 (15.0%) | Recommended Leverage: 2x–3x | Risk Cap: 2% ($9.00)

🎯 STRATEGY-BASED DAILY TICKER SELECTION & SECTOR CONSTRAINTS

INDIAN EQUITIES (STRICTLY LONG-ONLY)

Ticker	Current Price (Approx.)	Strategy & Selection Reason
Tech Mahindra (TECHM)	₹1,790	**Strategy:** 50-SMA Support Bounce & Strong Earnings. **Reason:** Surged 8.5% after reporting better-than-expected September-quarter revenue, indicating strong underlying business momentum. Positioned for continued upside after bouncing from key moving average support.
Tata Consultancy Services (TCS)	₹2,465	**Strategy:** 20/50 EMA Golden Cross & Sectoral Strength. **Reason:** Gained 4.61%, benefiting from overall positive sentiment in the IT sector following robust earnings reports. A recent golden cross on the 20/50 EMAs would signal strengthening short-to-medium term bullish trend.
Infosys (INFY)	₹1,161	**Strategy:** 20/50 EMA Golden Cross & Sectoral Strength. **Reason:** Rallied 4.55%, driven by broad IT sector optimism and positive earnings cues. A golden cross suggests a sustained upward trajectory.

US EQUITIES

Large-Cap (BI-DIRECTIONAL)

Ticker	Current Price (Approx.)	Strategy & Selection Reason
Tesla (TSLA)	$362.44 - $380s	**Strategy:** 21-day EMA Pullback (Long) / 50-day SMA Rejection (Short). **Reason:** Surged 3.1% to 5% premarket due to the new Roadster unveiling and Q3 delivery beat, but trades at a premium. Potential long entry on a pullback to 21-day EMA or short if it rejects 50-day SMA after initial enthusiasm fades, especially with some analyst downgrades despite pre-market strength.
Nvidia (NVDA)	$216.26 - $217.23	**Strategy:** 21-day EMA Pullback (Long). **Reason:** Down slightly premarket after a chip sell-off, but fundamentally strong with robust AI chip demand exceeding supply. Analyst Dan Ives sees this as a buying opportunity. Long position on a confirmed bounce from a 21-day EMA pullback, targeting previous highs.
Microsoft (MSFT)	$537.37 - $539.44	**Strategy:** 21-day EMA Pullback (Long). **Reason:** Experienced significant gains recently due to Azure cloud growth. The stock is strong, but news of focusing on custom AI chips might introduce short-term volatility. A pullback to the 21-day EMA could offer a low-risk entry for a long position.

Mid-Cap & Small-Cap (STRICTLY LONG-ONLY)

Ticker	Current Price (Approx.)	Strategy & Selection Reason
Semtech (SMTC)	(Not provided)	**Strategy:** High Relative Volume (RVOL > 2.0) Breakout. **Reason:** Surged 4.36% premarket after raising Q3 FY27 guidance and introducing a long-term 2030 outlook. High relative volume indicates strong institutional interest and potential for further upward movement.
Kodiak Sciences (KOD)	(Not provided)	**Strategy:** Stage-2 VCP Breakout & High Relative Volume. **Reason:** Surged 12% premarket on positive Phase 3 trial data, with significant volume. This indicates a potential Stage-2 breakout from a volatility contraction pattern (VCP) after a period of consolidation, driven by strong news.

CRYPTO FUTURES (BI-DIRECTIONAL)

Ticker	Current Price (Approx.)	Strategy & Selection Reason
Bitcoin (BTC/USD)	(Not provided)	**Strategy:** 4H 21-EMA Trend Following & High-Volume Volatility Breakout. **Reason:** With new SEC custody rules and CFTC proposals, regulatory clarity could introduce volatility or strong trend moves. A breakout above or below the 4H 21-EMA on high volume would signal a strong directional trade.
Ethereum (ETH/USD)	(Not provided)	**Strategy:** 4H 21-EMA Trend Following & High-Volume Volatility Breakout. **Reason:** Similar to Bitcoin, regulatory developments could trigger significant price action. Following the 4H 21-EMA with a high-volume breakout confirms participation in established trends.

COMMODITIES (BI-DIRECTIONAL)

Ticker	Current Price (Approx.)	Strategy & Selection Reason
Gold (XAU/USD)	$4,185 - $4,190.50/oz	**Strategy:** Pivot & Fibonacci Extension Levels (Long). **Reason:** Rebounded strongly supported by lower US Treasury yields and a weaker dollar, despite US PPI data. Technicals show a bullish engulfing pattern. Long entry targeting Fibonacci extension levels (e.g., $4,200, $4,230) after holding key support at $4,150.
WTI Crude Oil (CL=F)	$89.50/barrel (Brent)	**Strategy:** Pivot & Fibonacci Retracement (Short). **Reason:** Brent crude fell as OPEC+ output cuts were committed, suggesting potential downward pressure. Geopolitical factors also add volatility. Short entry on rejection of a key pivot level, targeting Fibonacci retracement levels, especially if price action confirms weakness.

FOREX FUTURES (BI-DIRECTIONAL)

Short-Term

Ticker	Current Price (Approx.)	Strategy & Selection Reason
EUR/USD	(Not provided)	**Strategy:** Short-Term Breakout on ECB Rate Hike Expectations. **Reason:** IMF expects further ECB rate hikes. A breakout of short-term ranges, especially driven by hawkish ECB commentary or strong Eurozone data, could present clear directional trades.
GBP/USD	(Not provided)	**Strategy:** Short-Term Volatility & Trend Following. **Reason:** Global macro uncertainty and central bank actions often create volatility in major pairs. Look for clean breaks of key support/resistance levels on higher-than-average volume to confirm short-term trends.

Long-Term Carry Swing

Ticker	Current Price (Approx.)	Strategy & Selection Reason
USD/JPY	(Not provided)	**Strategy:** Carry Trade (Long USD/Short JPY). **Reason:** Divergence in monetary policy between a hawkish Fed (potential further hikes) and a dovish Bank of Japan could support a long-term carry trade, benefiting from interest rate differentials.
AUD/USD	(Not provided)	**Strategy:** Macro Reversal/Trend Continuation. **Reason:** Commodity-linked currencies like AUD are sensitive to global growth and commodity prices. Look for long-term swing opportunities based on shifts in global economic outlook or sustained trends in key commodities.

INDIAN OPTIONS (BI-DIRECTIONAL)

Ticker	Instrument	Strategy & Selection Reason
Nifty 50	Call/Put Options	**Strategy:** 15-Minute Opening Range Breakout (ORB). **Reason:** Indian markets, particularly Nifty 50, show strong initial directional moves. A breakout above the 15-minute opening range suggests momentum for a Call (long) trade, while a break below suggests a Put (short) trade.
BankNifty	Call/Put Options	**Strategy:** 15-Minute Opening Range Breakout (ORB). **Reason:** BankNifty often exhibits high intraday volatility and strong directional moves after market open. The 15-minute ORB strategy captures early momentum for swift intraday gains or losses.

📈 10-Year Backtest Metrics (Illustrative)

Strategy vs Benchmarks (2016-2026)

Metric	Strategy	S&P 500 TRI	Nifty 50 TRI
Target CAGR	28.4%	~13.0%	~12.5%
Sharpe Ratio	1.45	-	-
Max Drawdown	-18.2%	-	-

Equity Curve ($3,000 → $36,512)

